

July 13, 2026 04:21 PM GMT

Investor Presentation | Asia Pacific

Asia Summer School: Korea Renaissance: Structural Positives vs. Technical Obstacles

MORGAN STANLEY & CO. INTERNATIONAL PLC, SEOUL BRANCH+

Joon Seok

Equity Analyst

Joon.Seok@morganstanley.com

+82 2 399-4934

Heewon Choi

Equity Analyst

Heewon.Choi@morganstanley.com

+82 2 399-4836

Minseo Kang

Research Associate

Minseo.Kang@morganstanley.com

+82 2 399-4816



Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

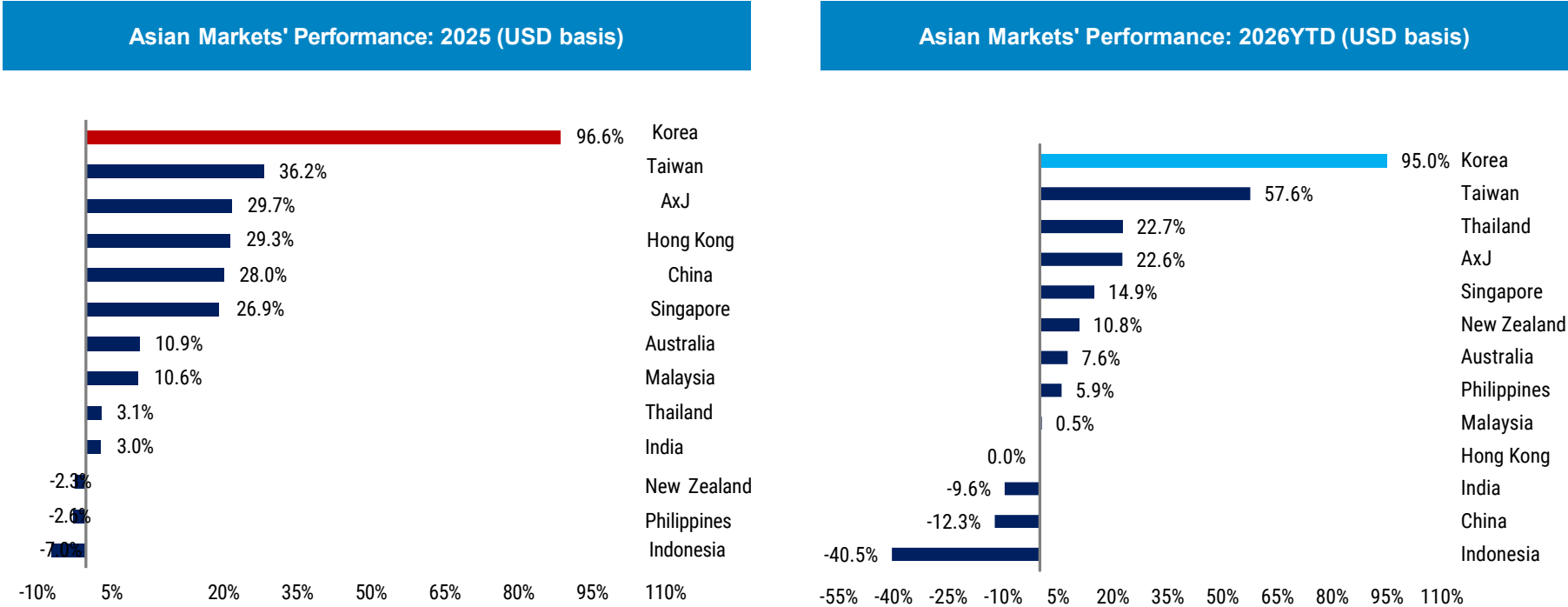
For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

South Korea Summer School 2026



Where Korea Stands
Korea Continues to Outperform Peers

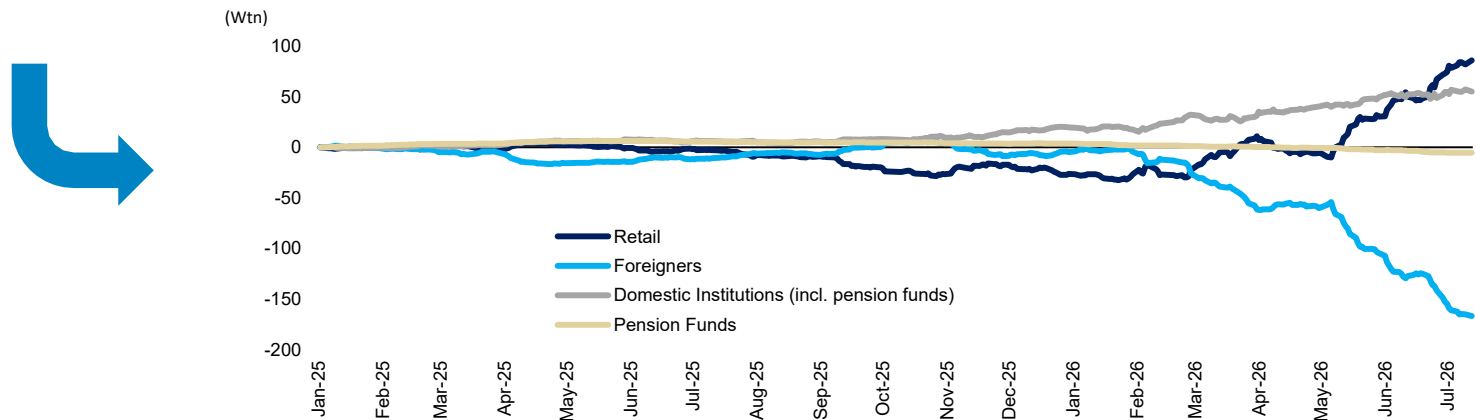


Source: Datastream, MSCI, Morgan Stanley Research. Note: Data as of July 10, 2026. Past performance is no guarantee of future results.

Where Korea Stands

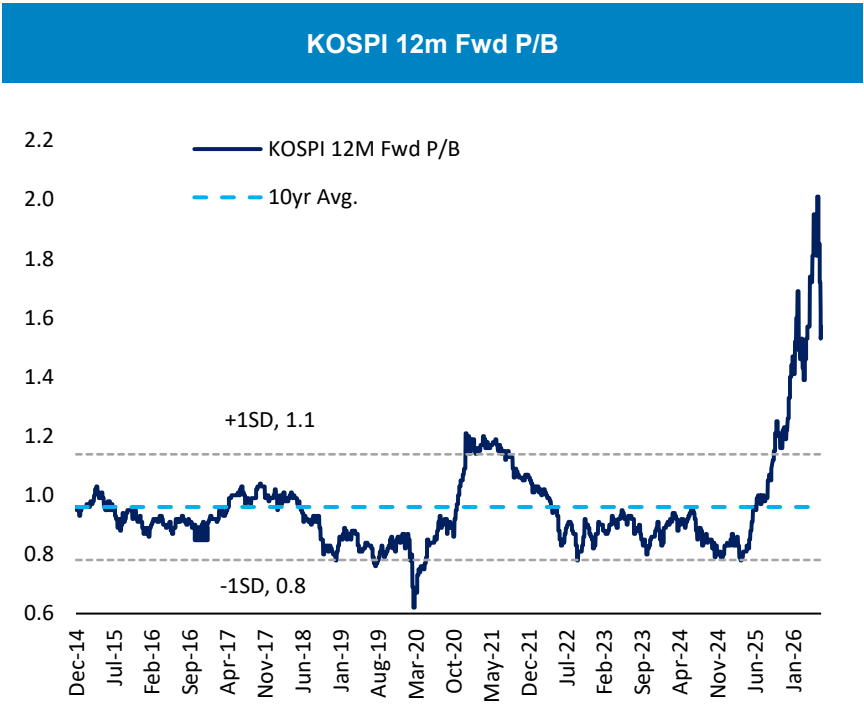
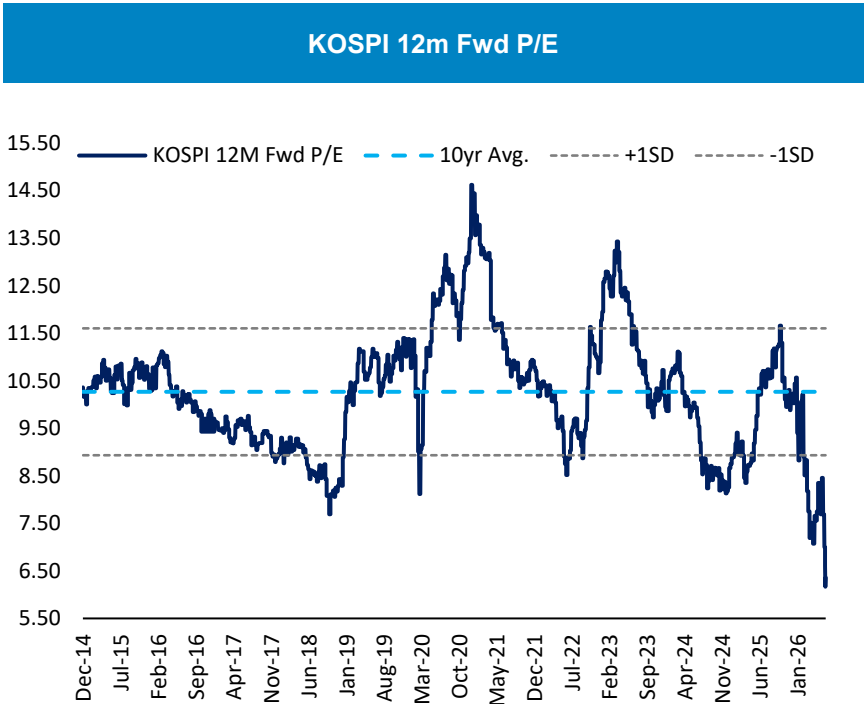
A Strong Push Up Driven by Expectations on Structural Elements

KOSPI: Sector price performance and 2026 YTD fund flows											
(%, Wbn)	KOSPI	IT	Materials	Industrials	Energy	Cons.Disc.	Financials	Healthcare	Comm.svcs.	Cons.Stp.	Utilities
Index wght	100%	64%	2%	12%	2%	6%	8%	3%	2%	1%	1%
2026 YTD Perf.	77.4%	169.4%	-8.8%	31.9%	60.2%	27.5%	34.8%	-15.3%	-13.1%	6.4%	-17.3%
2025 Perf.	75.6%	142.7%	26.5%	106.1%	46.1%	35.3%	53.6%	21.1%	20.5%	21.8%	87.6%
Foreigners Net Buying	-160,641	-146,539	1,513	1,550	1,747	-13,272	-3,340	1,790	-1,247	526	-451
Domestic Retail Net Buying	108,533	100,948	-1,597	-2,652	-1,849	11,305	-803	-836	1,481	-516	1,062
Domestic Institution Net Buying	37,593	30,636	-495	3,153	712	791	4,330	-1,202	-445	-21	-568
Pension Funds Net Buying	-8,935	-4,076	-138	-2,032	377	43	-1,374	-974	-398	-137	-362



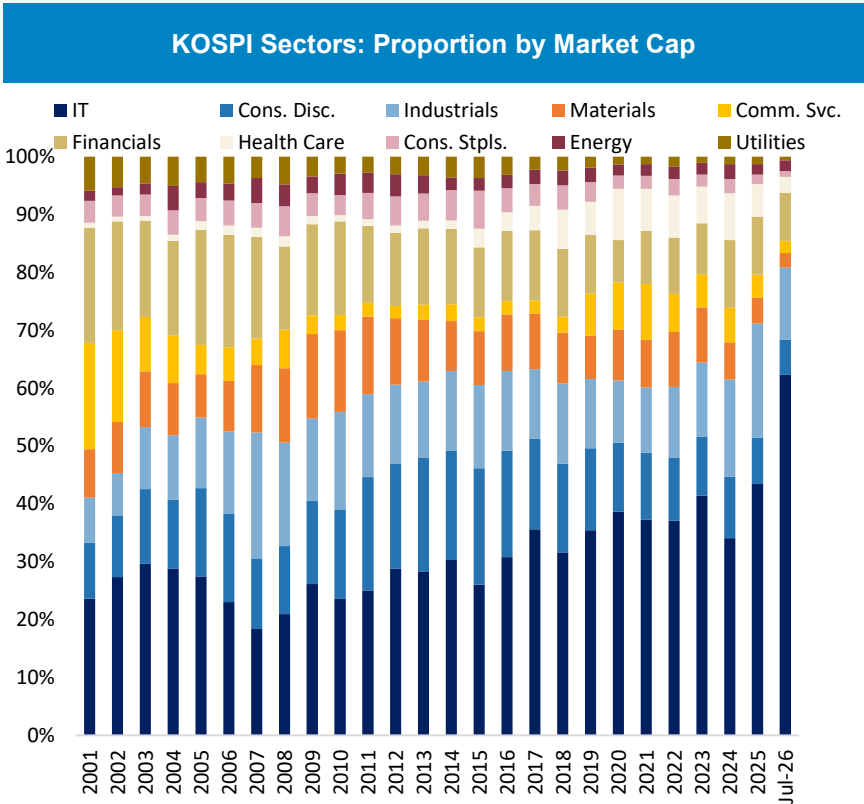
Source: WiseFN, Morgan Stanley Research. Note: Data as of July 10, 2026.

Where Korea Stands
Valuations Back Down for P/E but Still High for P/B

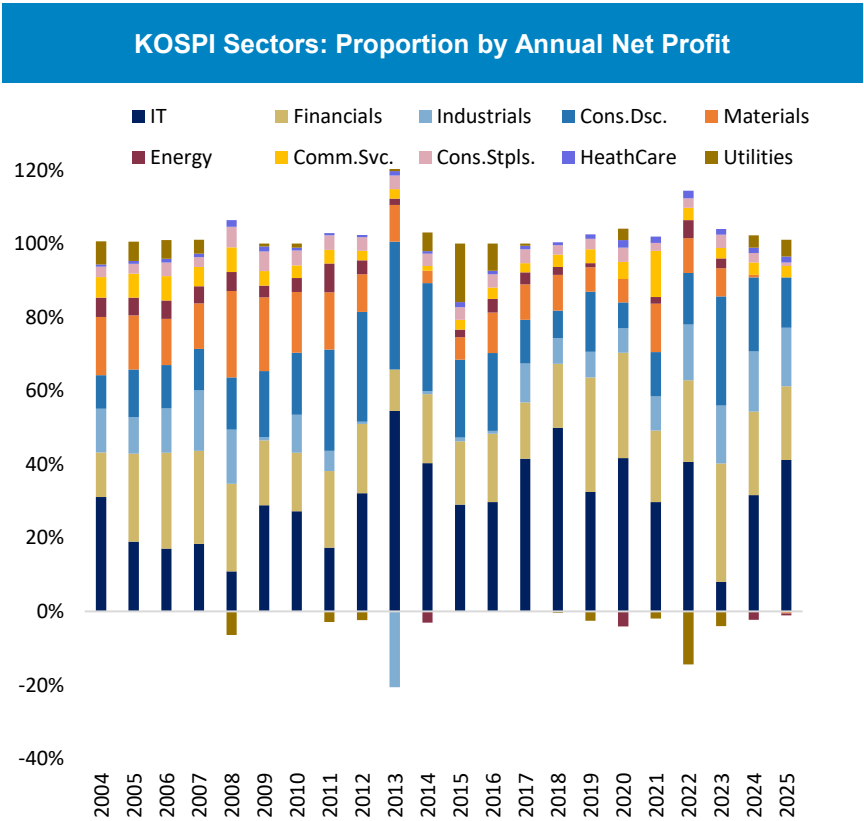


Source: Factset, Morgan Stanley Research, Data as of July 10, 2026

Where Korea Stands
Sector Composition Even More Tilted to IT



Source: WiseFN, Bloomberg, Morgan Stanley Research.

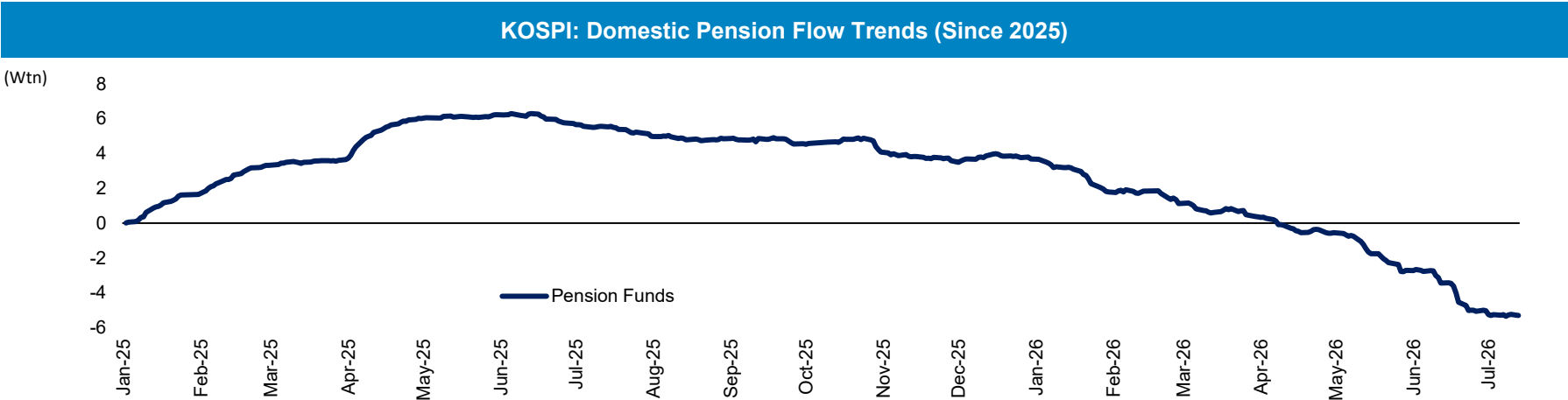


Source: WiseFN, Bloomberg, Morgan Stanley Research.

Where Korea Stands
National Pension Rebalancing Should be Manageable

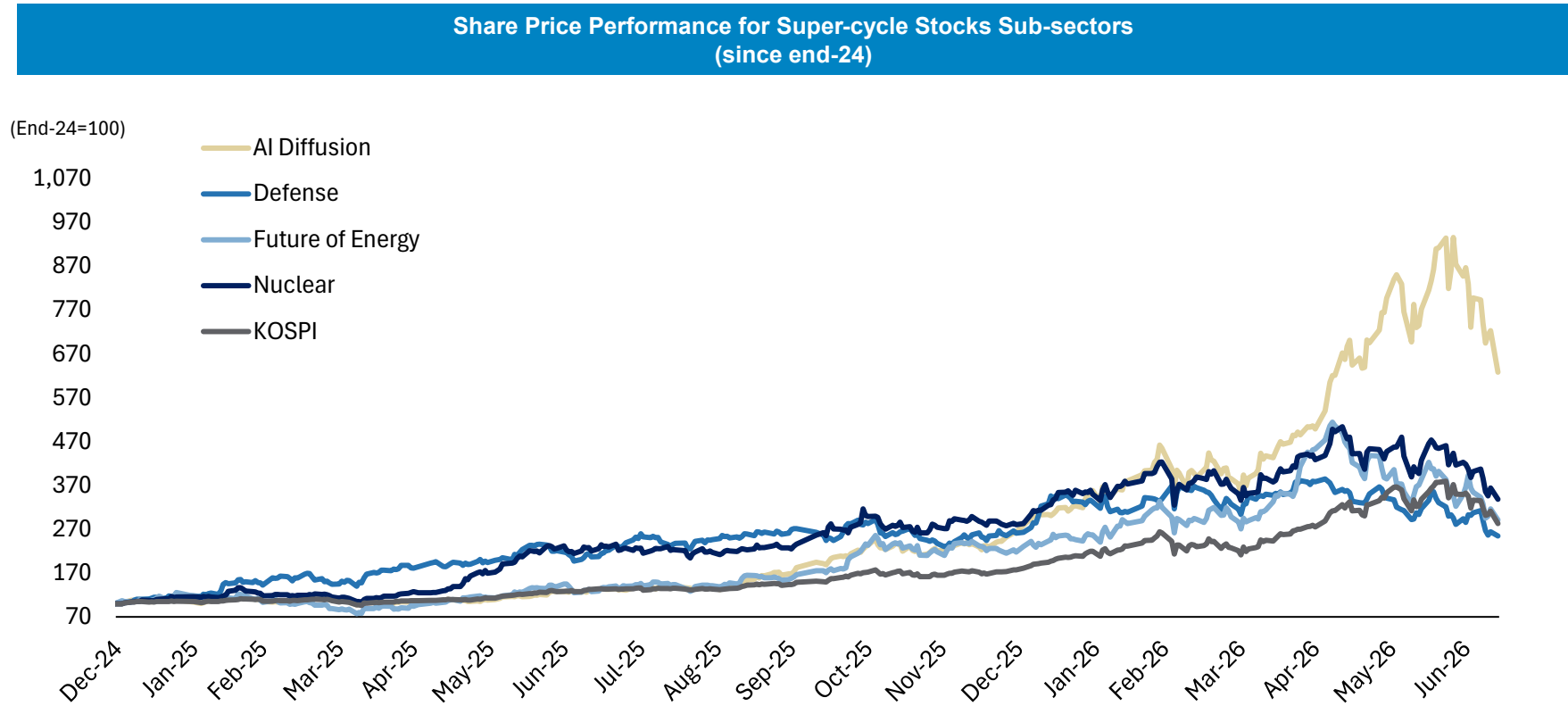
NPS Asset Allocation Plan						
Total (financial investment only)		Actual (Apr 2026)	New			
			end-26 target	end-27 target	SAA buffer	5yr fwd target (end-31)
Equity	Domestic	25.1%	20.8%	20.8%	To be updated by end-26 (will not be disclosed)	55%
	Overseas	36.2%	34.7%	35.6%		
Bonds (incl. short-term instruments)	Domestic	24.0%	23.1%	21.8%		30%
	Overseas		7.4%	7.4%		
Alternative Investments		14.7%	14.0%	14.3%		15%

Source: National Pension Service, Morgan Stanley Research.



Source: KRX, Morgan Stanley research, Data as of July 13, 2026

Structural Growth Stories
Opportunities Exist

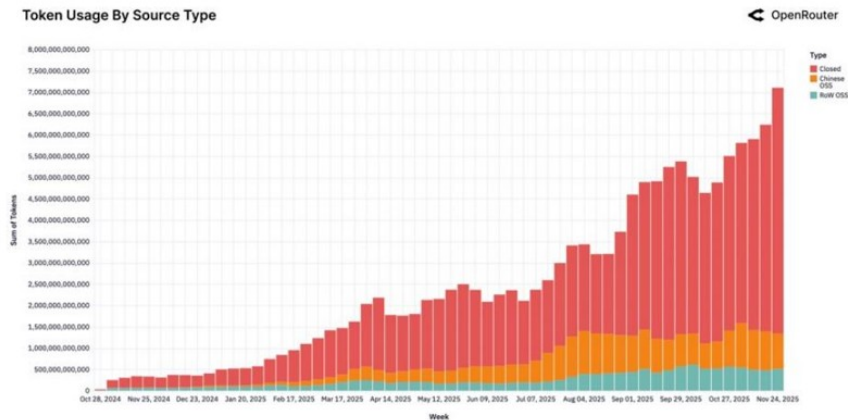


Source: WiseFN, Morgan Stanley Research. Past performance is no guarantee of future results.

Structural Growth Stories: AI Tech Diffusion

Demand for Compute Continues to Rise

Demand for Compute Continues to Rise at a Non-linear Rate Boosting Infrastructure Requirements



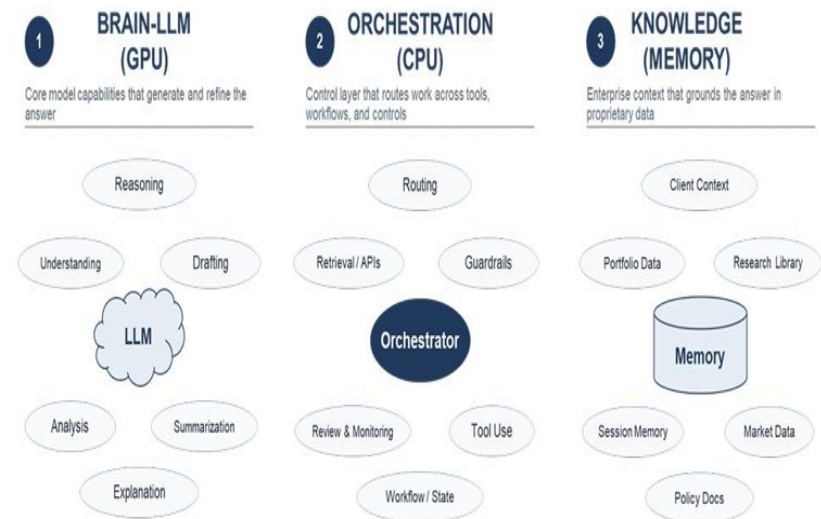
Why we believe that the demand for compute is likely to significantly exceed supply:

- Google exec forecast compute needs are ~3x the Morgan Stanley projected compute CAGR for NVIDIA.
- In one year, weekly token usage has increased by ~2,200% and average AI task complexity is increasing at a non-linear rate.

Source: OpenRouter. Note: Weekly token volume by model type. Stacked bar chart showing total token usage by model category over time. Dark red corresponds to proprietary models (Closed), orange represents Chinese open source models (Chinese OSS), and teal indicates open source models developed outside China (RoW OSS). The chart highlights a gradual increase in OSS token share through 2025, particularly among Chinese OSS models beginning in midyear. For more details, please find the report [here](#).

Rising Memory Prices Are Adding Cost Pressures to Hardware OEMs

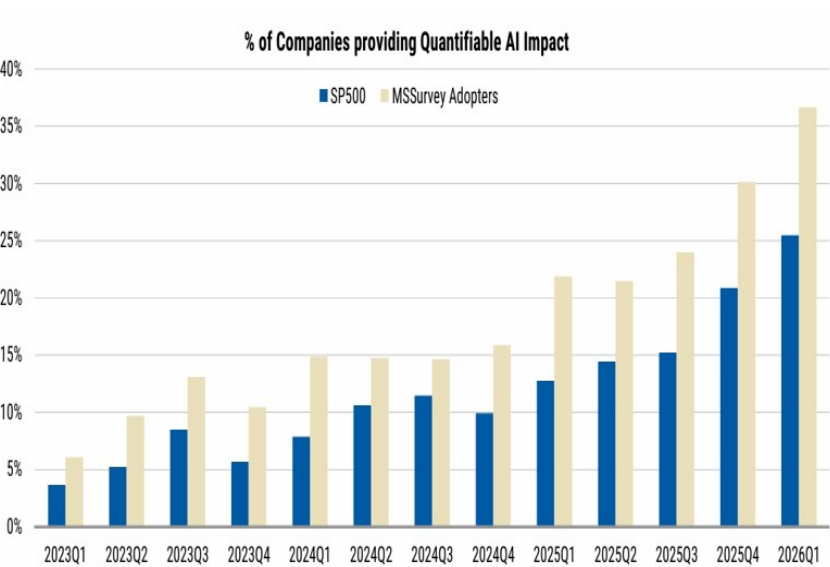
THE THREE PILLARS



Source: Morgan Stanley Research. For more details, please find the report [here](#).

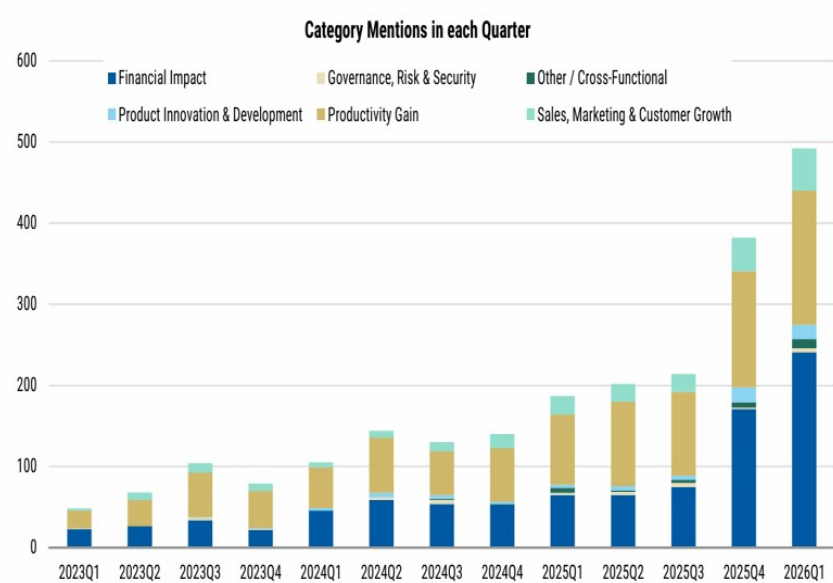
Structural Growth Stories: AI Tech Diffusion
How Are Companies in Different Sectors Adopting AI?

Companies Are Seeing Quantifiable Benefits from AI Adoption



Source: Morgan Stanley Research, Morgan Stanley Research. Please note, companies mentioning multiple quantifiable benefits from AI are only counted once in this chart. For more details, please find report [here](#)

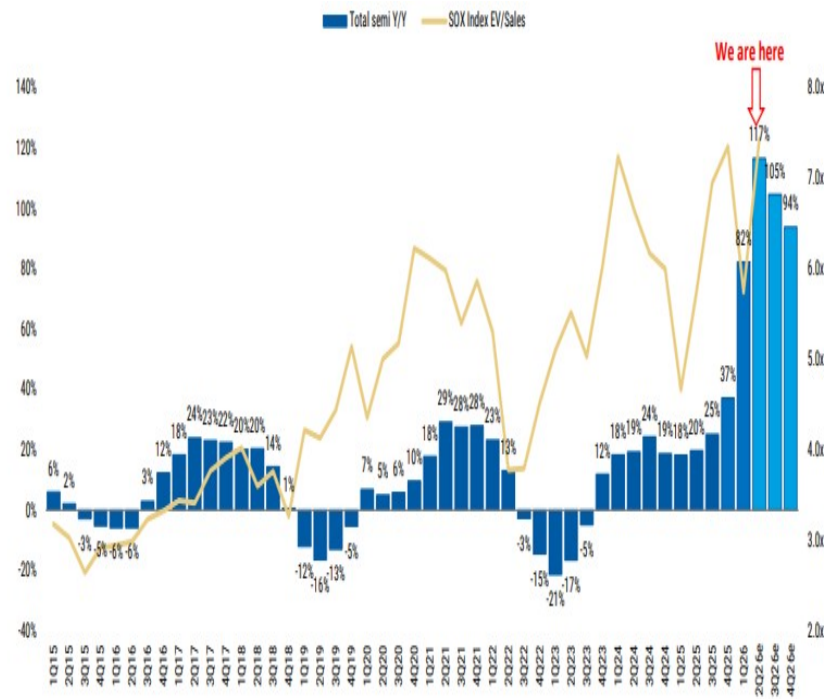
The Majority of Quantifiable Benefits Are Tied to “Financial Impact” and “Productivity Gain”



Source: Morgan Stanley Research, For more details, please find report [here](#)

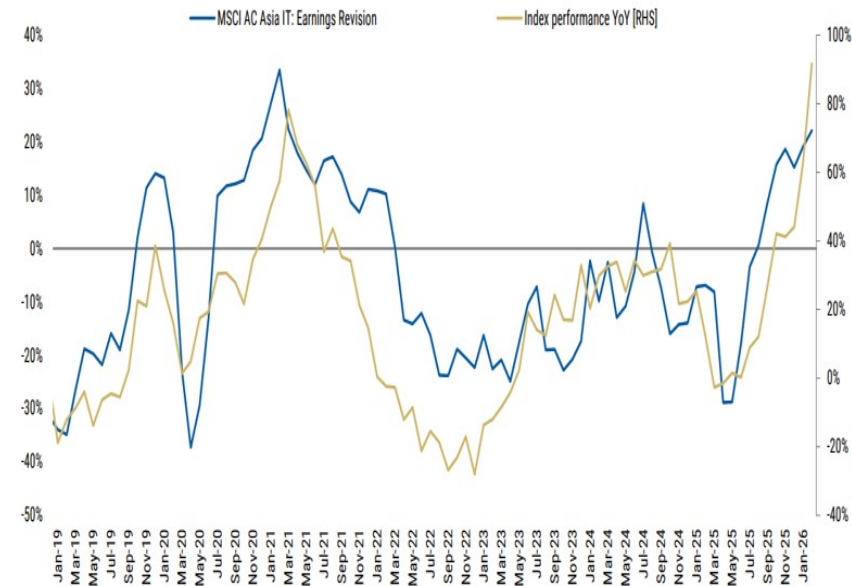
Structural Growth Stories: AI Tech Diffusion
Where Are We in the Cycle?

SOX Index Valuation vs. Global Semiconductor Revenue YoY %



Source: SIA, FactSet, Morgan Stanley Research (e) estimates.

Earnings Strength Still the Main Driver



Source: FactSet, Morgan Stanley Research.

Structural Growth Stories: Super-cycles Converging for Industrials

Opportunities Exist From Various Industrial Sub-sectors

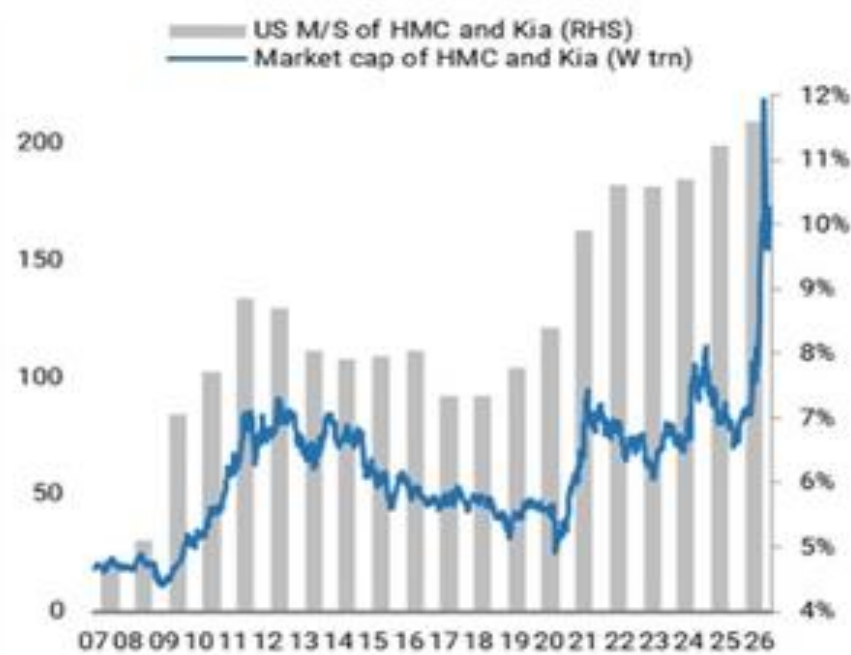
S.Korea: Industrials Key Sub-sector

Sub-sectors	Remarks
Power generation	Korea's power generation and grid ecosystem is entering a new phase, shaped by both domestic urgency to meet growing demand for power and overseas opportunities. Korean power equipment makers are now leveraging cost competitiveness and proven technology to win large-scale tenders in the US, Middle East and Europe, where grid modernization and renewable integration are accelerating. For the fitting side, we believe rising demand for LNG export terminals should lead to rising demand for fitting products. This, along with limited supplier dynamics, should bode well for KR fitting players' rev/earnings growth outlook into 2026.
Nuclear power	Nuclear energy is undergoing a structural re-rating as nuclear power remains irreplaceable as a sustainable, dispatchable source of baseload power given the expected increase in electricity demand from AI data centers going forward. Furthermore, recent acceleration in private-led deployment of SMRs (Small Modular Reactors) is likely to provide additional growth opportunities for Korean players given their strategic partnerships with multiple SMR developers such as NuScale, TerraPower, etc.
Defense	Heightened geopolitical tensions following the US-Iran conflict have renewed investor interest in defense stocks especially air defense side, but need to be selective. 2026 new order pipeline looks favorable for land systems and aerospace with naval vessel orders being the swing factor as order sizes if won should be sizable.
Overseas EPC players	While the domestic construction industry is suffering, there continues to be opportunities for Korean contractors overseas. Traditional hydrocarbon and infrastructure projects remain a mainstay but there are increasing opportunities in the energy transition and also nuclear power EPC space going forward.
Shipyards	Valuations are significantly higher than historical levels. Investors seem to be leaning more to 2nd LNG order cycle but still some questions on the defense story. There are some sizable bids currently out there such as the Canada submarine project, which Korean shipyards are bidding for.

Source: Morgan Stanley Research

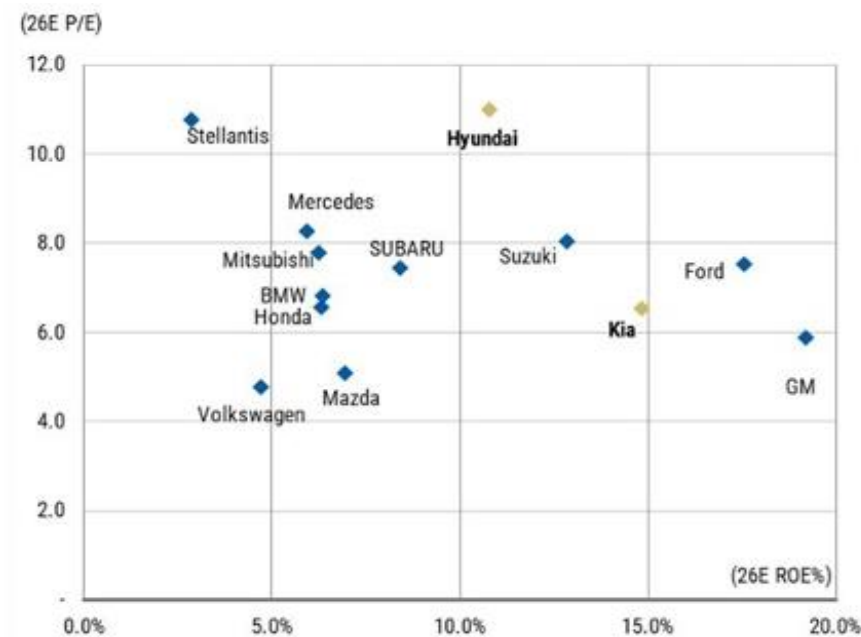
Structural Growth Stories: Auto Sector
Time for Execution and Robotics

HMC/Kia: US Market Share vs. Combined Market Cap



Source: Motor Intelligence, Company data, WiseFN, Morgan Stanley Research

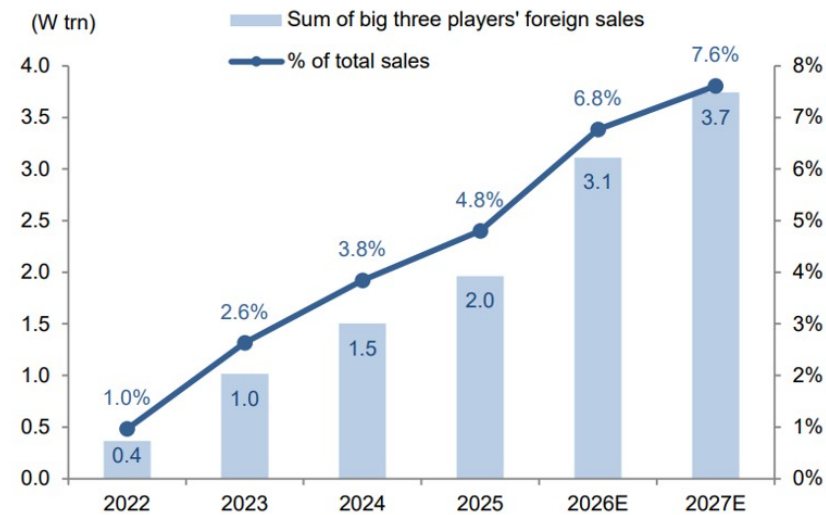
Global Autos: 2026e P/E vs. ROE



Source: Morgan Stanley Research (e) estimates

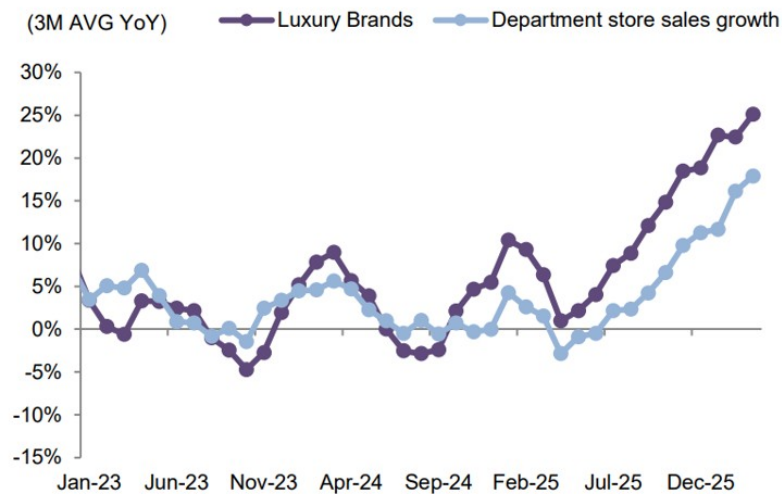
Structural Growth Stories: Luxury Consumption
Balanced Domestic Demand Growth Skewed to Luxury + Inbound Travel

Department Store Foreign Spending



Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research estimates. For more details, please find the report [here](#)

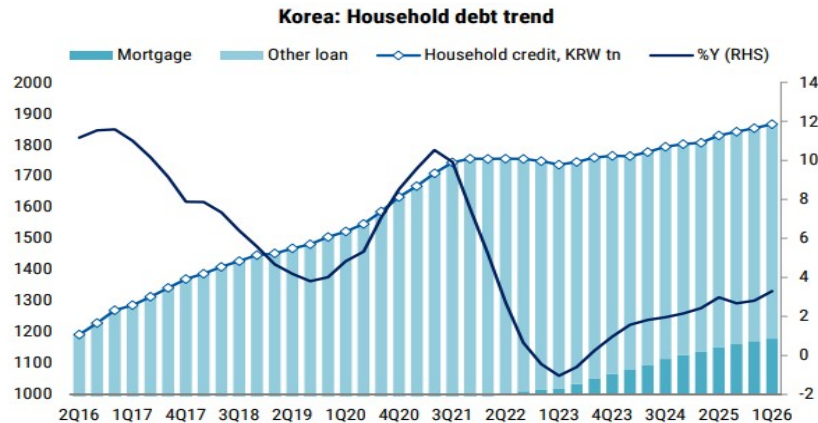
Luxury Sales Growth at Department Stores



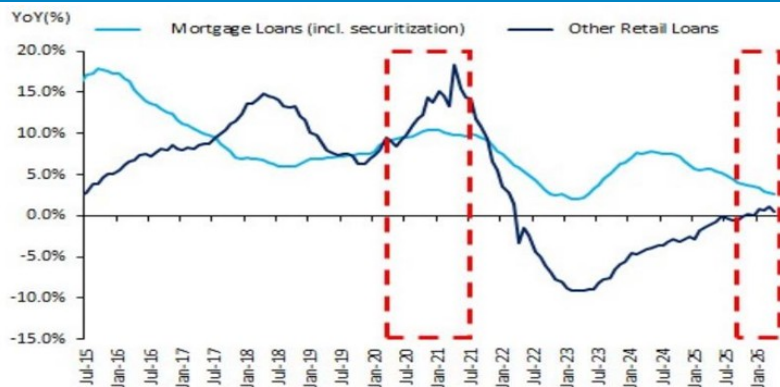
Source: MoTIR, Morgan Stanley Research, For more details, please find the report [here](#)

Will Retail Investors Stick to Equities? Increased Liquidity But Also Volatility

Households' Sensitivity to Rising Interest Rates Adds Pressure

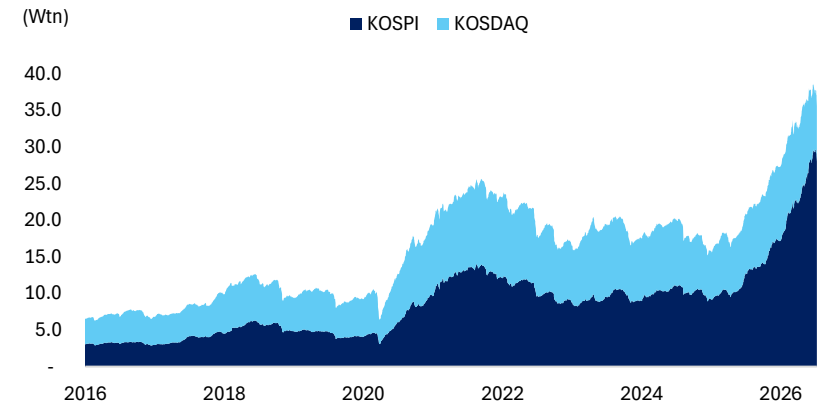


Retail Investors Taking Out Unsecured Loans to Invest in Equities

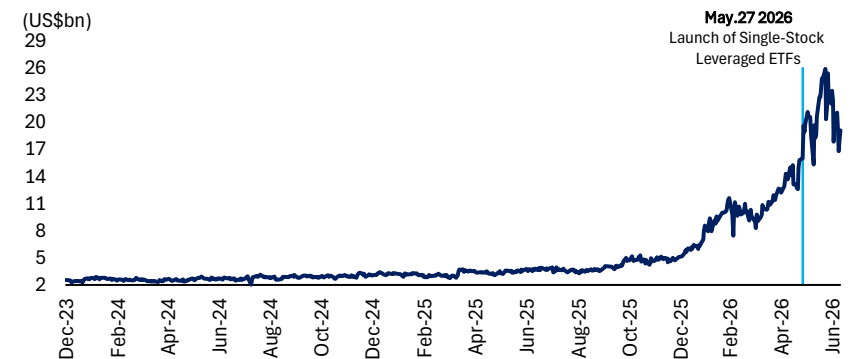


Source: KOFIA, WiseFN, Morgan Stanley Research

KOSPI+KOSDAQ Margin Loan Balance



Leveraged Domestic Equity ETF AUM Trend

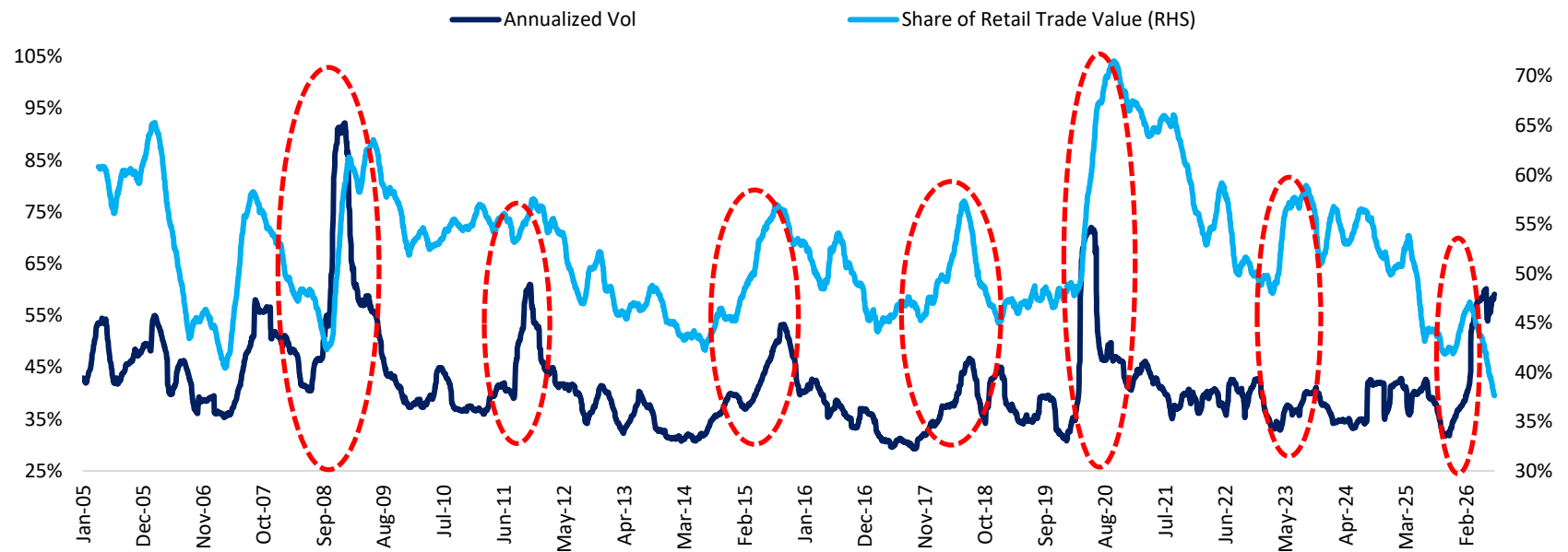


Source: BoK, KOFIA, Morgan Stanley Research

Will Retail Investors Stick to Equities?

Retail Investors Still Like Volatility and Thematics But Somewhat More Mature

KOSPI: Annualized Volatility and Share of Retail Trade Value

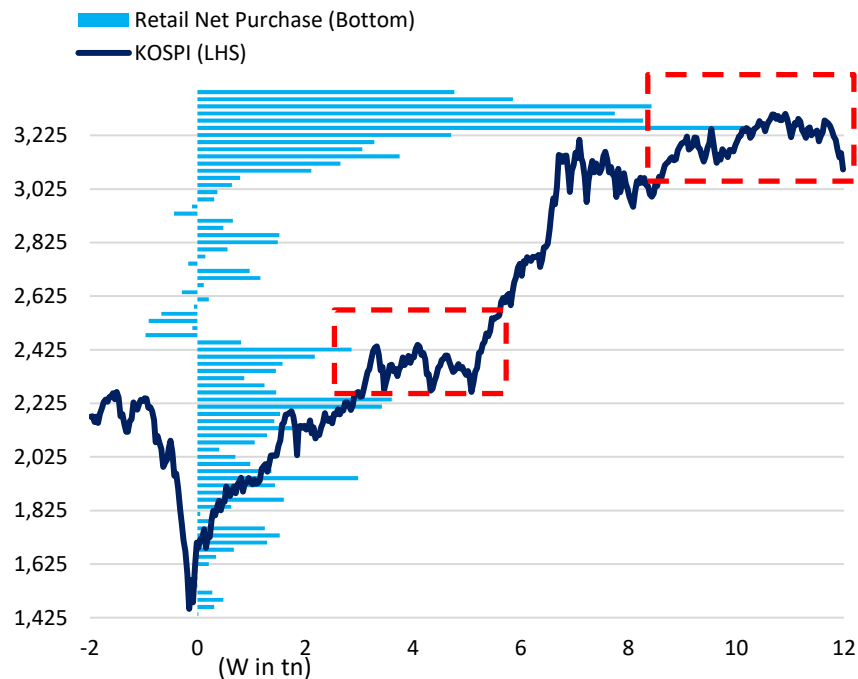


Source: WiseFN, Morgan Stanley Research

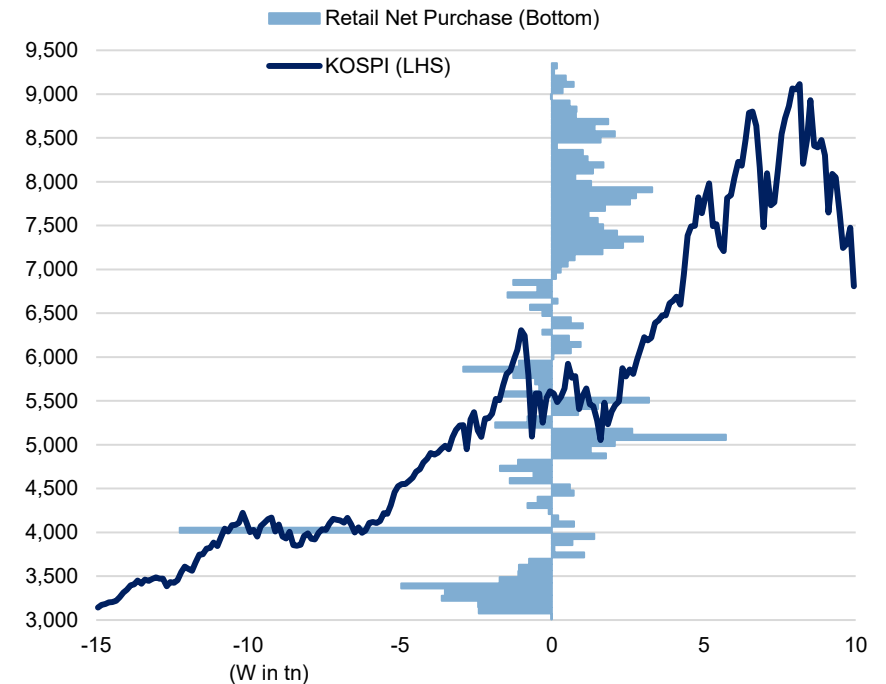
Will Retail Investors Stick to Equities?

Retail Investors' Positioning Is Less Concentrated in Current Cycle

KOSPI Price Trend versus Retail Net Flows by Price Intervals
(2020~2021)



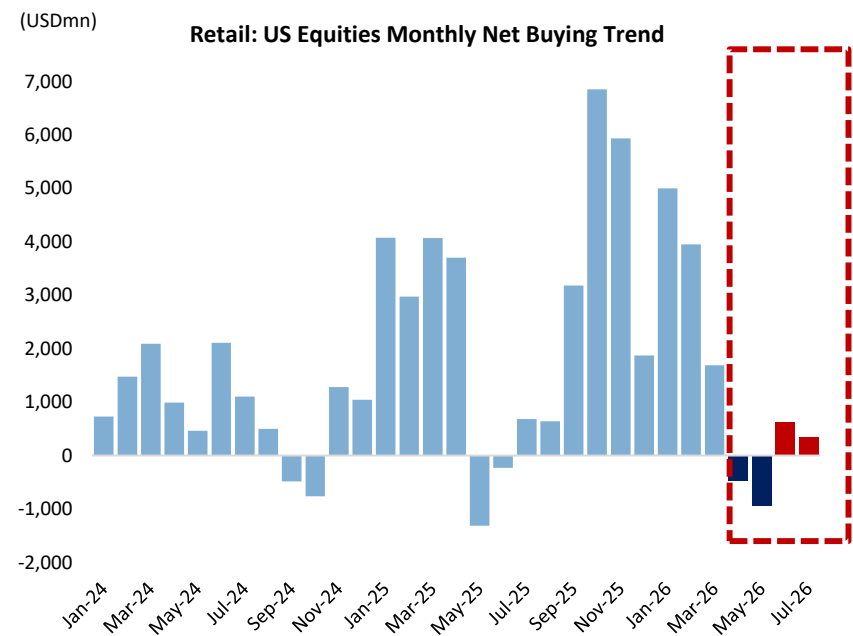
KOSPI Price Trend versus Retail Net Flows by Price Intervals
(1H25~Current)



Source: WiseFN, Morgan Stanley Research, Data as of Jul 13, 2026

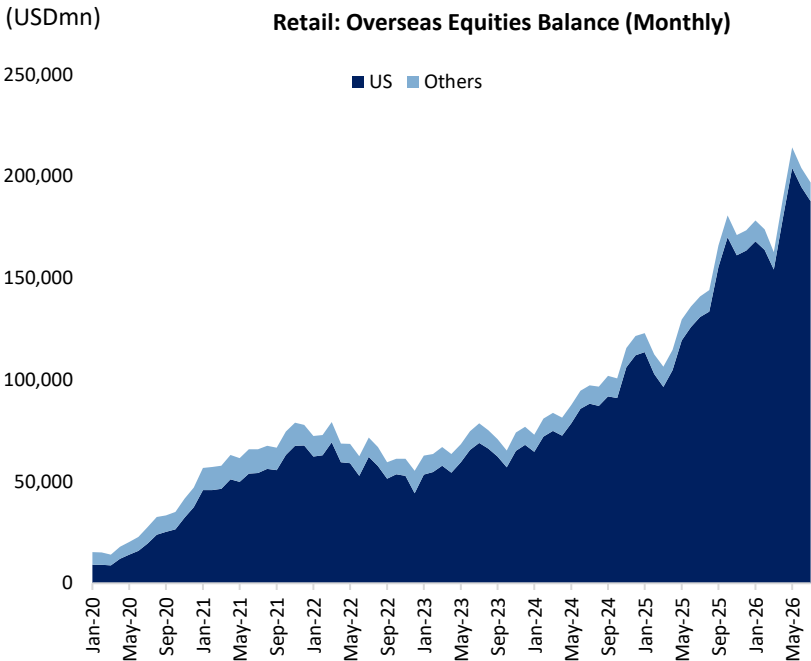
Will Retail Investors Stick to Equities?
Retail Investors Should Continue to Balance Between Domestic and Overseas Positions

Retail Investors: Monthly Net Buying of US Equities



Source: SEIBRO, Morgan Stanley Research, Data as of July 10, 2026

Retail Investors: Overseas Equity Holdings

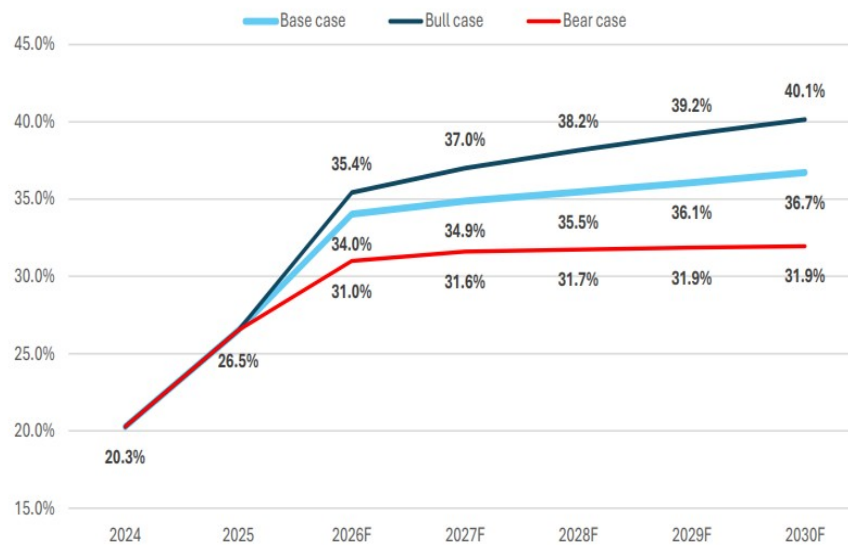


Source: SEIBRO, Morgan Stanley Research, Data as of July 10, 2026

Will Retail Investors Stick to Equities?

Equity Penetration Depends on Flow and Market Cap Trends

Household Equity Holdings – Base, Bull, and Bear Cases



Source: Morgan Stanley Research; (F) estimates

Korea – Aggregate Household Financial Holdings Trend and Forecast (Base Case)

(KRW in trillions)	2023	2024	2025	2026F	2027F
Total household financial holdings	5,209.4	5,472.6	6,201.9	7,256.8	7,656.4
Currency & Deposits	2,414.2	2,536.7	2,676.5	2,730.0	2,811.9
Insurance & Pension Reserves	1,457.6	1,579.0	1,650.3	1,815.3	1,906.1
Securities other than Shares	168.6	199.6	182.1	192.1	217.1
Equities & Equivalent	1,127.9	1,109.3	1,644.3	2,469.3	2,669.3
Others	41.1	48.1	48.7	50.0	52.0

(%)	2023	2024	2025	2026F	2027F
Currency & deposits	46.3	46.4	43.2	37.6	36.7
Insurance & pension reserves	28.0	28.9	26.6	25.0	24.9
Bond holdings	3.2	3.6	2.9	2.6	2.8
Equities & Equivalent	21.7	20.3	26.5	34.0	34.9

Source: Morgan Stanley Research; (F) estimates

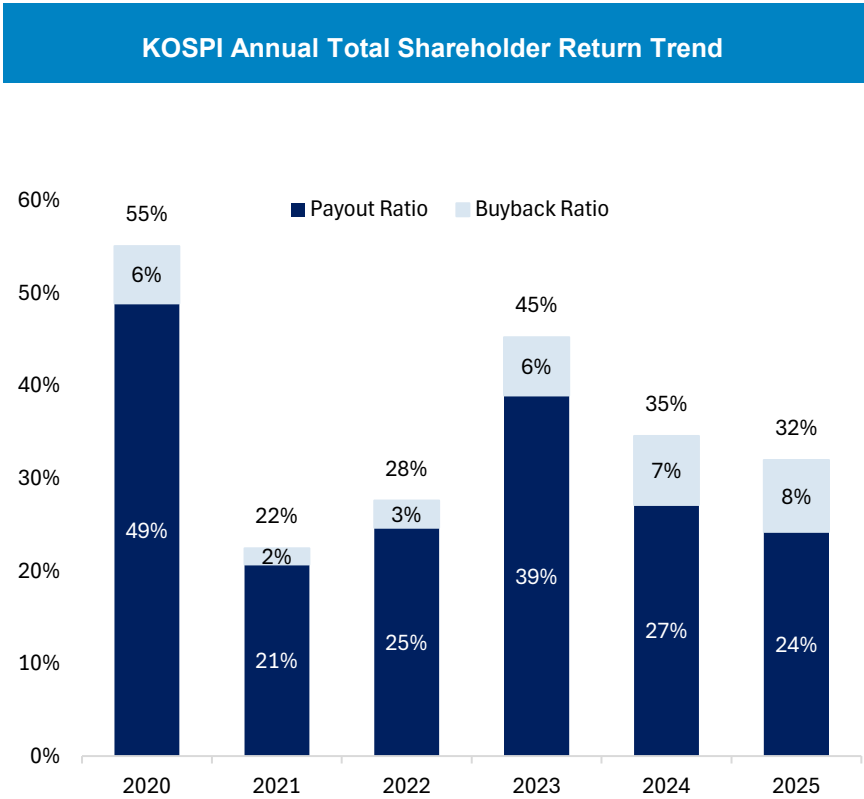
What to Expect From Capital Market/Governance Reform?

Reform Expected to Continue

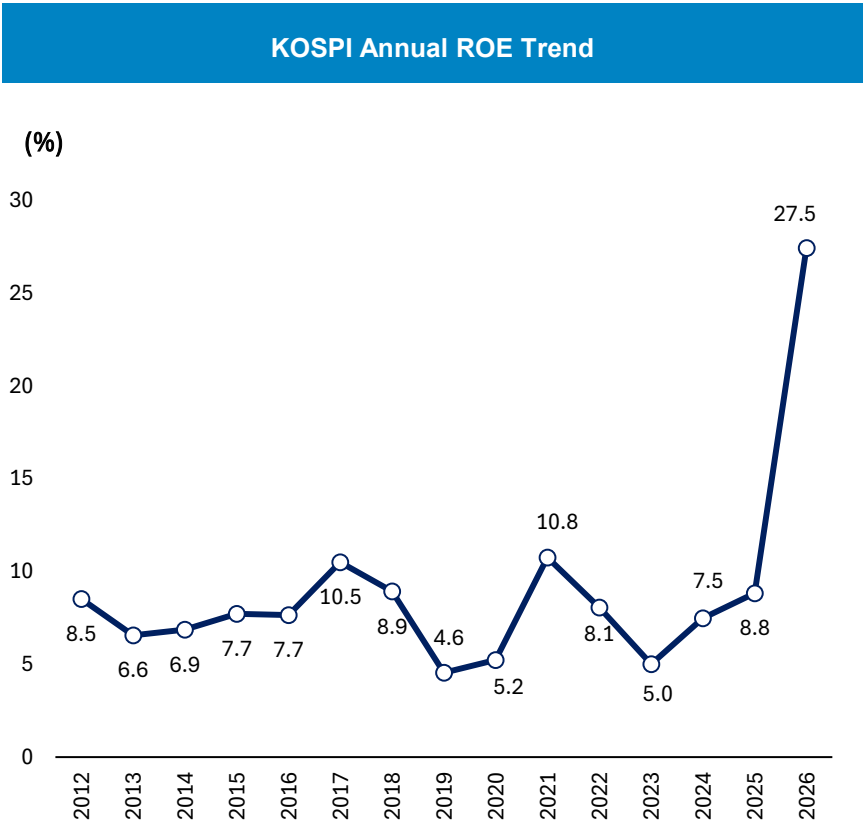
Key Developments and Measures to Look for in 2026		
Measures/Events	Remarks	Timeline
2026		
Commercial Code 3.0 - Mandatory treasury cancellation measures	Lawmakers from the ruling party (DPK) proposed multiple amendment proposals to the Commercial Code, which stipulates the mandatory cancellation of treasury shares within a diverse range of periods, but finally the final bill was confirmed. The ruling party's KOSPI 5000 Committee submitted a bill to amend the rules in the Commercial Code related to treasury shares on November 24, 2025. The bill was passed by the National Assembly on February 25, 2026 with the key rules being treasury shares need to be cancelled within 1 year but for existing treasury shares an additional grace period of 6 months will be provided, and exceptions are provided but shareholder approval is needed. Passed by the National Assembly on February 25, 2026.	Promulgated on March 5, 2026
Capital market rule framework upgrade	The previous government announced a proposal for amendments to the Capital Market Act on December 2, 2024 with a focus on changing rules related to M&A and business restructuring transactions to make it less unfavorable for minority shareholders. The new administration is also wanting to make revisions to the Capital Market Act but we need to wait for confirmation of a comprehensive proposal or it could be a case of more piecemeal amendments.	1H26
Initiatives to incentivize KOSDAQ market investment	On December 19, 2025, the FSC announced measures to revitalize the KOSDAQ market, including: (1) Improvement of listing and delisting requirements to enhance market dynamism by facilitating entry for promising firms and ensuring the timely exit of underperforming or non-compliant companies; (2) Improving market credibility through greater institutional investor participation; (3) Clarifying review standards for key market issues and strengthening investor protection; and (4) Enhancing the independence and operational autonomy of the KOSDAQ market department within KRX (Korea Exchange) to encourage proactive efforts.	2026~
Launching of Sovereign Wealth Fund	The government has been discussing the launching of a state-backed strategic investment entity, often referred to as a "Korean version of Temasek (Singapore)", aimed at providing long-term capital to strategic sectors. Compared to KIC - an existing SWF in Korea - the new SWF would likely be more focused on strategic and domestic investment, rather than purely financial or global portfolio diversification. According to the MOEF, initial funding sources might include public funds, government-owned assets, or policy finance institutions, rather than foreign exchange reserves. Key sectors/themes in focus would include semiconductors, AI-related sectors, energy transition, healthcare, space, defense and other strategic industries.	2026
Domestic liquidity linked measures	Recently, the government announced several measures to incentivize retail investors to invest in the domestic equity market and to ensure longer-term investment, including: (1) RIA (Reshoring Investment Account): RIA is a policy-driven investment account designed to encourage domestic retail investors to return to Korea's equity market; the account aims to support domestic liquidity and broaden the local retail investor base by offering tax incentives on assets invested through designated accounts. According to the MOEF's tax incentive proposal, retail investors who sell their overseas equity holdings and reinvest the proceeds into domestic equities on a long-term basis are granted one-year tax incentives on disposal gains. The tax incentives on capital gains from overseas equities varies depending on the timing of disposal. For example, investors who repatriate funds in 1Q26 are eligible for a 100% exemption, while those returning funds in 2H26 are eligible for a partial exemption (e.g., 50%) - although the details are yet to be finalized. (2) ISA (Individual Savings Account): The government is likely to raise or even remove the ISA tax-exempt limit from the current W2mn; while also reviewing a proposal to include the National Growth Fund and BDC (Business Development Company) Fund as eligible investment instruments under the ISA scheme. Meanwhile, a policymaker proposed a bill suggesting a higher investment limit for ISAs and lowering tax rates from the current 9% to 5%, in order to incentivize longer-term investment into the domestic equity market through ISAs. (3) Introducing National Growth Fund and BDC Fund: The government is also considering granting enhanced tax incentives for investments in policy-driven funds such as the National Growth Fund and BDC Fund than when investing in conventional equity-type funds. Under the proposal, tax benefits would apply to both contributions and dividend income, with dividends from these funds potentially subject to separate taxation at a lower rate. Meanwhile, the government is set to announce additional housing supply measures focused in Seoul metropolitan area in mid-Jan, following previous housing market policies during 2025, to stabilize housing market prices and crack down on speculative demand.	1H26
Anti-Stock Suppression Act	The so-called Anti-Stock Suppression Law refers to a proposed amendment to the Inheritance and Gift Tax Act, which was first introduced in May 2025 by DPK policymaker So Young Lee. The purpose of the proposal is to prevent controlling shareholders from intentionally suppressing a company's stock price ahead of succession in order to lower inheritance or gift taxes. Under the bill, if a listed company's PBR is below 0.8x, the stock would not be valued at market price for inheritance tax purposes but instead be assessed using a method similar to unlisted companies, with a minimum valuation floor at 0.8x PBR to eliminate incentives for artificial price suppression.	2026

Source: Morgan Stanley Research.

What to Expect From Capital Market/Governance Reform?
ROE on Upward Climb But Need to See What is Sustainable Level; TSR Should Improve



Source: WiseFN, KRX, Morgan Stanley Research



Source: WiseFN, Morgan Stanley Research, E=WiseFN Consensus Estimates

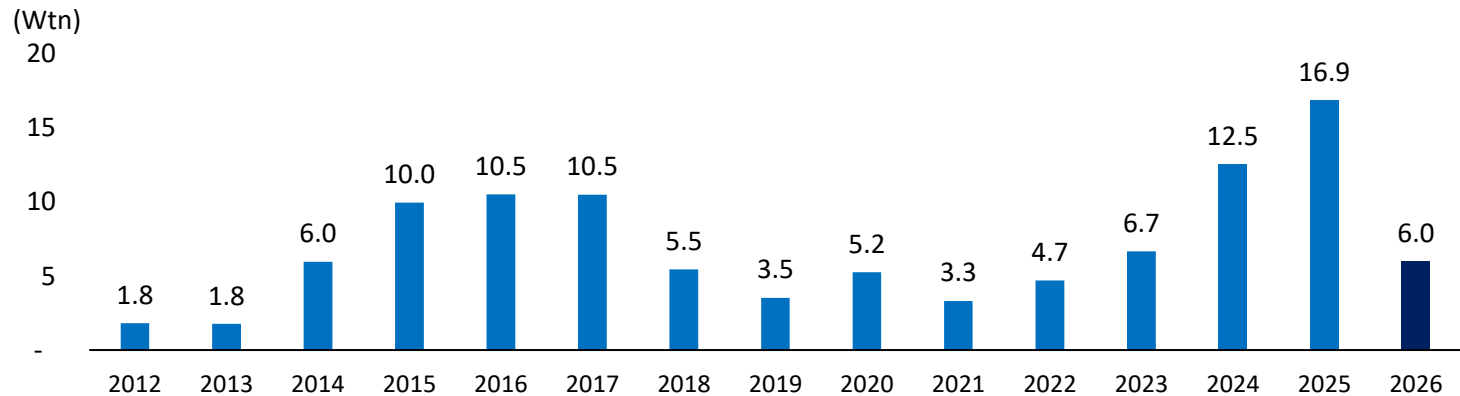
What to Expect From Capital Market/Governance Reform?

Pro-active Capital Management Is a Key Factor; Rising Buyback Trend in Recent Years

Korea Still Low Compared to Peers on Capital Management

Dividend Payout	Year	MSCI Korea	MSCI Japan	India	China	AxJ	EM	DM	Europe	USA	Australia
	2017	16.1%	30.7%	29.7%	29.9%	33.4%	34.0%	43.8%	55.0%	38.6%	73.8%
	2018	20.3%	29.3%	32.5%	30.1%	35.1%	35.8%	40.0%	53.3%	33.9%	75.4%
	2019	32.9%	35.1%	36.3%	29.5%	39.3%	40.4%	42.6%	55.9%	36.2%	81.0%
	2020	33.6%	49.3%	37.4%	27.9%	38.4%	40.0%	48.3%	62.5%	41.1%	68.1%
	2021	21.5%	35.2%	33.1%	27.5%	34.8%	37.4%	36.5%	48.3%	30.0%	74.1%
	2022	24.0%	33.1%	33.1%	29.3%	36.3%	39.7%	35.3%	42.9%	30.2%	67.4%
	2023	36.9%	34.9%	32.3%	27.1%	37.8%	39.7%	37.3%	46.0%	31.7%	66.9%
	2024	24.2%	35.1%	31.7%	28.6%	35.5%	37.8%	37.4%	48.3%	31.6%	69.5%
	2025	20.7%	37.2%	33.6%	29.0%	35.8%	37.7%	36.1%	49.9%	29.4%	68.8%

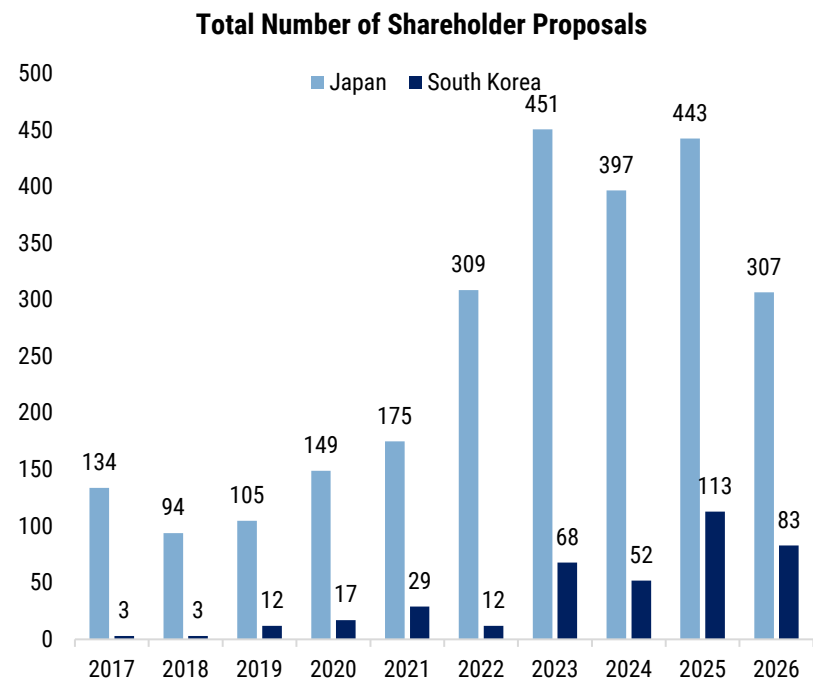
Share Buybacks



Source: Refinitiv, KRX, Morgan Stanley Research.

What to Expect From Capital Market/Governance Reform?
Corporate Execution Is Key; Reform Policy Push Making Key Stakeholders More Active

Japan vs. Korea Shareholder Proposals



Source: Bloomberg, Morgan Stanley Research. Updated as of July 10, 2026.

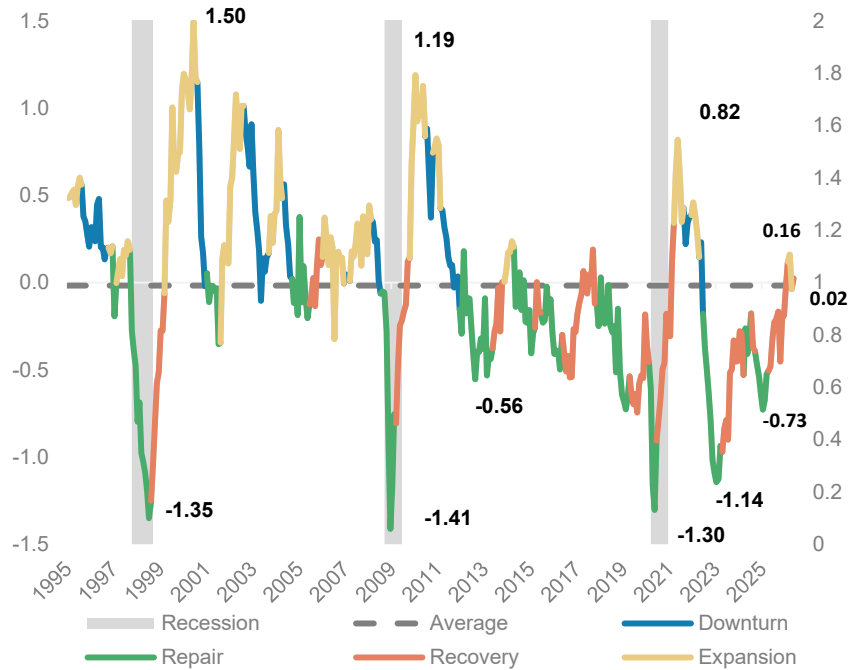
Korean Conglomerates - What Factors to Focus on

	Governance momentum	Ownership structure	Business portfolio	Dividend Payout (2026~2027)	Share Buybacks (2026~2027)	Stakeholder Actions
Hanwha	Positive	Yes	Yes	Modest upside	Unlikely	No
SK	Positive	No	Yes	Flat	Uncertain	Possible
Lotte	Neutral	No	Yes	Significant downside	Unlikely	Yes
LG	Neutral	No	Yes	Modest upside	Uncertain	No
Hyundai Motors	Positive	Yes	Yes	Modest upside	Likely	Yes
Samsung	Neutral	Possible	Yes	Modest upside	Only Samsung Elec.	Yes
Kakao	Neutral	No	Yes	Flat	Uncertain	No
Doosan	Neutral	No	Yes	Flat	Unlikely	No
Celltrion	Neutral	Yes	No	Flat	Uncertain	No
CJ	Neutral	No	No	Modest downside	Unlikely	No
Shinsegae	Neutral	No	No	Significant downside	Unlikely	No

Source: Hankyung (August 25, 2025), WiseFN, Morgan Stanley Research.

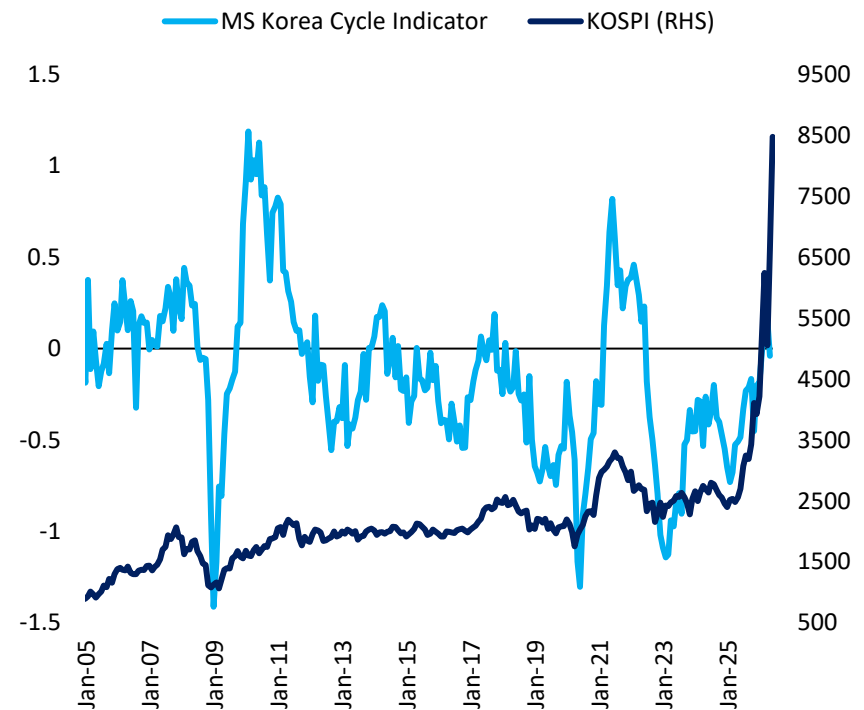
Where Are We in the Cycle?
Back to 2012~2019 Cycle or Pushing Up?

Korea Cycle Indicator



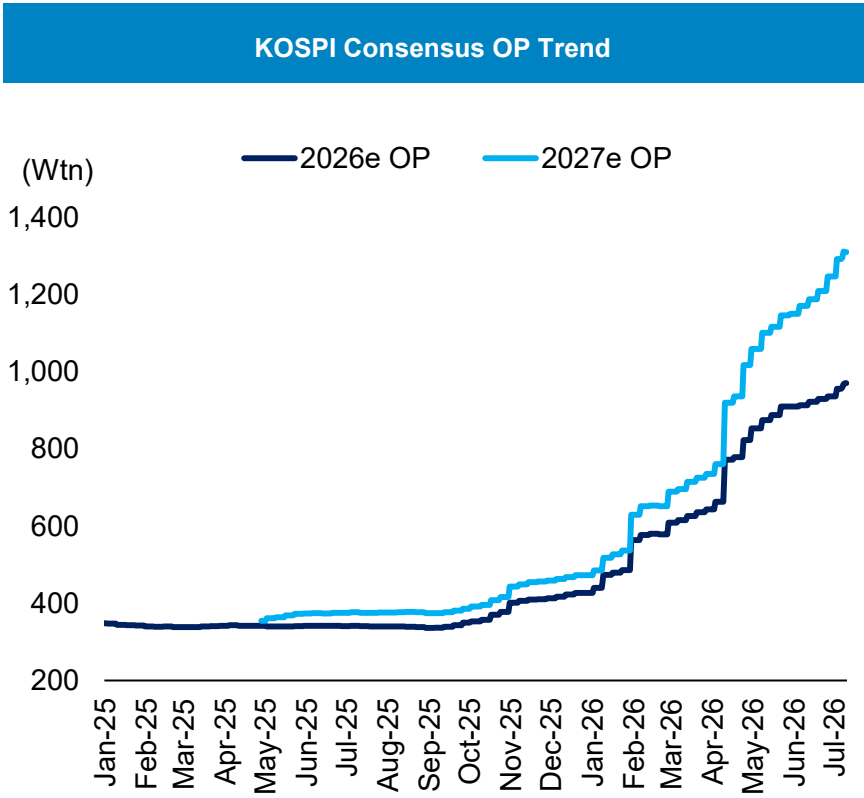
Source: WiseFN, Bloomberg, Morgan Stanley Research.

Korea Cycle Indicator vs. KOSPI

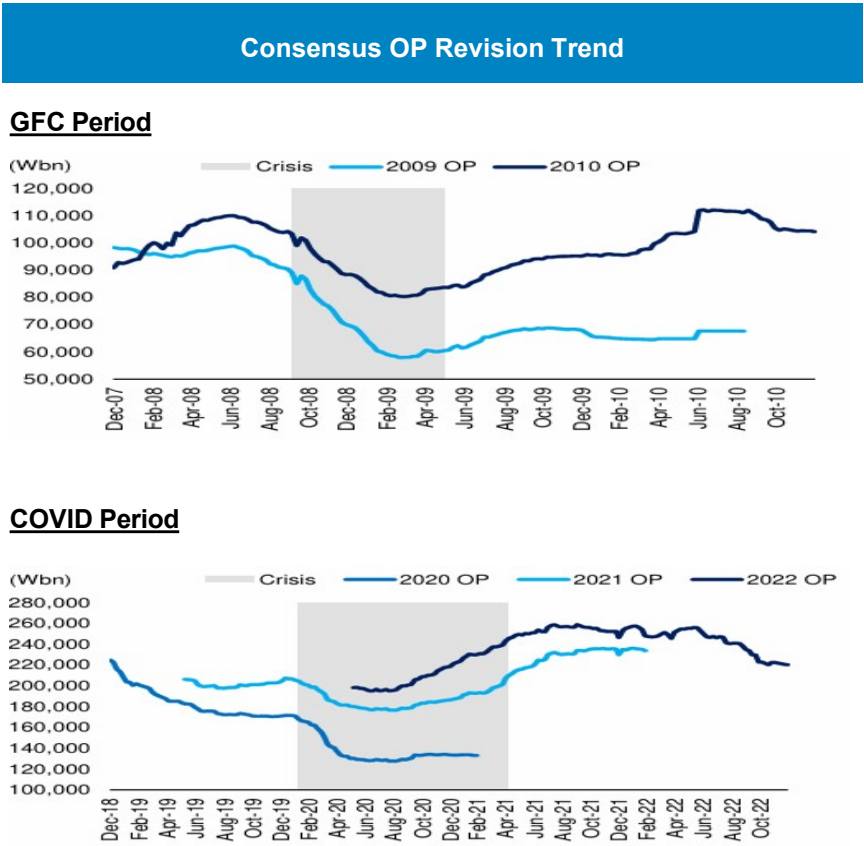


Source: WiseFN, Bloomberg, Morgan Stanley Research.

Where Are We in the Cycle?
Consensus Earnings for 2026-27e Continue To Be Adjusted Up; Monitoring Rate of Change



Source: WiseFN, Morgan Stanley Research. E = WiseFN consensus estimates.



Source: WiseFN, Morgan Stanley Research. E = WiseFN consensus estimates.

Where Are We in the Cycle?

Valuations Still Low vs. Historical Levels and Global Peers

KOSPI: Korea Sub-sector: Fwd P/E Comparison with Global Peer

MSCI Korea vs. MSCI World: 12m Fwd P/E Discount

	Energy	Materials	Industrials	Cons. Discr	Cons. Stpls	Health care	Financials	IT	Comm. Svcs	Utilities
2010	-3.8%	-23.5%	-19.0%	-33.0%	-5.3%	46.4%	-10.9%	-23.2%	-28.4%	-6.1%
2011	-34.4%	-18.8%	-23.0%	-35.4%	-1.7%	50.5%	-23.7%	-14.3%	-27.5%	11.2%
2012	-12.9%	-16.9%	-14.3%	-50.1%	5.6%	67.9%	-27.1%	-31.1%	-27.1%	52.4%
2013	-23.5%	-18.7%	-20.3%	-54.9%	-1.6%	-16.9%	-16.5%	-48.6%	-37.5%	-32.2%
2014	-14.9%	-27.0%	-21.2%	-58.0%	-3.7%	-19.9%	-20.4%	-30.3%	-23.8%	-77.5%
2015	-46.8%	-27.7%	-9.0%	-52.8%	10.1%	94.5%	-27.3%	-39.0%	-35.5%	-61.4%
2016	-63.8%	-33.2%	-29.0%	-53.3%	-11.4%	201.5%	-27.2%	-36.1%	-23.1%	-70.0%
2017	-55.4%	-38.0%	-33.9%	-49.0%	-2.0%	277.7%	-33.7%	-60.8%	-44.3%	-58.7%
2018	-30.0%	-25.7%	-20.8%	-36.1%	1.1%	413.3%	-32.3%	-54.5%	10.3%	7.7%
2019	-37.0%	-31.3%	-37.7%	-51.7%	-14.4%	259.7%	-43.4%	-35.5%	28.6%	-19.6%
2020	20.8%	2.5%	-38.6%	-64.9%	-19.2%	243.2%	-55.5%	-46.6%	12.1%	-41.3%
2021	6.7%	-34.0%	-53.1%	-66.2%	-35.5%	107.7%	-56.3%	-56.5%	34.4%	NA
2022	-25.8%	-20.0%	-42.9%	-65.5%	-30.8%	126.4%	-55.8%	-5.5%	39.6%	NA
2023	-30.4%	-24.3%	-24.3%	-72.5%	-30.7%	155.2%	-62.2%	-34.2%	20.2%	-29.0%
2024	-17.9%	-18.4%	-45.4%	-79.3%	-37.2%	140.7%	-58.2%	-70.7%	-8.0%	-86.3%
2025	19.5%	0.4%	-22.8%	-72.5%	-14.2%	126.6%	-46.2%	-63.1%	-16.8%	-80.9%
Jul-26	18.4%	-6.4%	-25.0%	-71.5%	-16.4%	135.4%	-45.3%	-61.2%	-12.3%	-80.1%

MSCI Korea vs. AxJ: 12m Fwd P/E Discount

	Energy	Materials	Industrials	Cons. Discr	Cons. Stpls	Health care	Financials	IT	Comm. Svcs	Utilities
2010	-5.3%	-15.8%	-12.2%	-25.0%	-16.0%	-23.4%	-23.8%	-18.9%	-29.0%	-18.6%
2011	-28.3%	-12.9%	-16.9%	-22.6%	-14.8%	-2.0%	-25.0%	-26.6%	-31.2%	14.9%
2012	-13.6%	-15.9%	-14.4%	-33.1%	-15.3%	1.1%	-25.3%	-23.1%	-36.0%	49.9%
2013	-5.4%	-12.6%	-7.7%	-34.6%	-17.3%	-32.8%	5.4%	-30.6%	-30.0%	-28.0%
2014	18.0%	-15.7%	-6.2%	-32.9%	-9.5%	-36.0%	0.1%	-14.1%	-24.0%	-67.3%
2015	-9.7%	-16.3%	11.6%	-36.0%	3.0%	39.8%	-5.0%	-29.9%	-33.3%	-40.7%
2016	-37.1%	-20.9%	-3.7%	-41.3%	-12.3%	104.6%	-4.0%	-25.7%	-23.6%	-57.3%
2017	-30.8%	-21.3%	-8.6%	-43.1%	-15.6%	129.6%	-18.9%	-48.5%	-47.3%	-49.7%
2018	-19.6%	-12.2%	-2.6%	-40.6%	-20.9%	181.0%	-27.3%	-32.1%	-15.6%	13.9%
2019	-19.5%	-17.5%	-6.7%	-54.3%	-23.0%	94.0%	-32.8%	-16.5%	10.9%	2.1%
2020	60.8%	6.5%	4.6%	-61.8%	-32.1%	80.0%	-45.3%	-22.0%	10.1%	-19.7%
2021	-8.6%	-22.1%	-17.7%	-59.0%	-41.0%	8.1%	-40.7%	-26.8%	14.1%	NA
2022	-35.1%	-19.0%	-14.4%	-65.9%	-38.4%	29.9%	-44.7%	25.9%	-0.9%	NA
2023	-30.8%	-22.0%	9.0%	-58.1%	-39.1%	59.7%	-43.9%	-0.8%	36.0%	-12.5%
2024	-8.8%	-23.3%	-18.4%	-64.1%	-39.8%	44.7%	-41.2%	-48.7%	6.1%	-82.6%
2025	28.2%	-9.5%	4.0%	-60.3%	-15.8%	35.4%	-29.3%	-39.8%	-2.7%	-72.8%
Jul-26	-24.2%	-1.6%	-19.3%	-67.9%	-9.1%	15.7%	-14.6%	-43.3%	6.9%	-74.4%

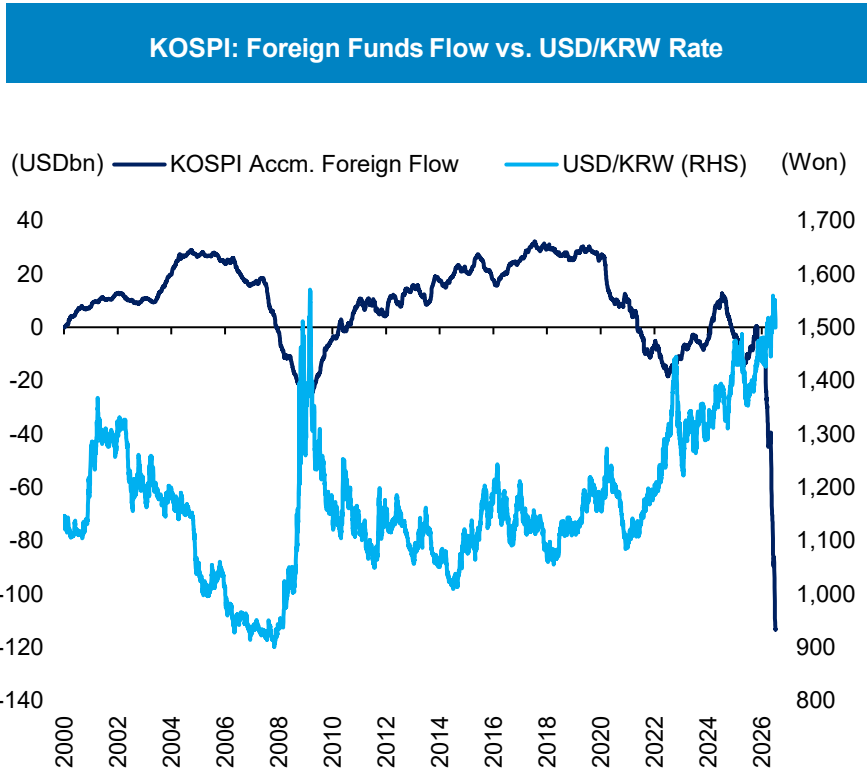
Source: WiseFN, Morgan Stanley Research. Note: Data as of Jul-2026

MSCI Korea sub-sector: Current vs. Historical 12m Fwd P/E Comparison

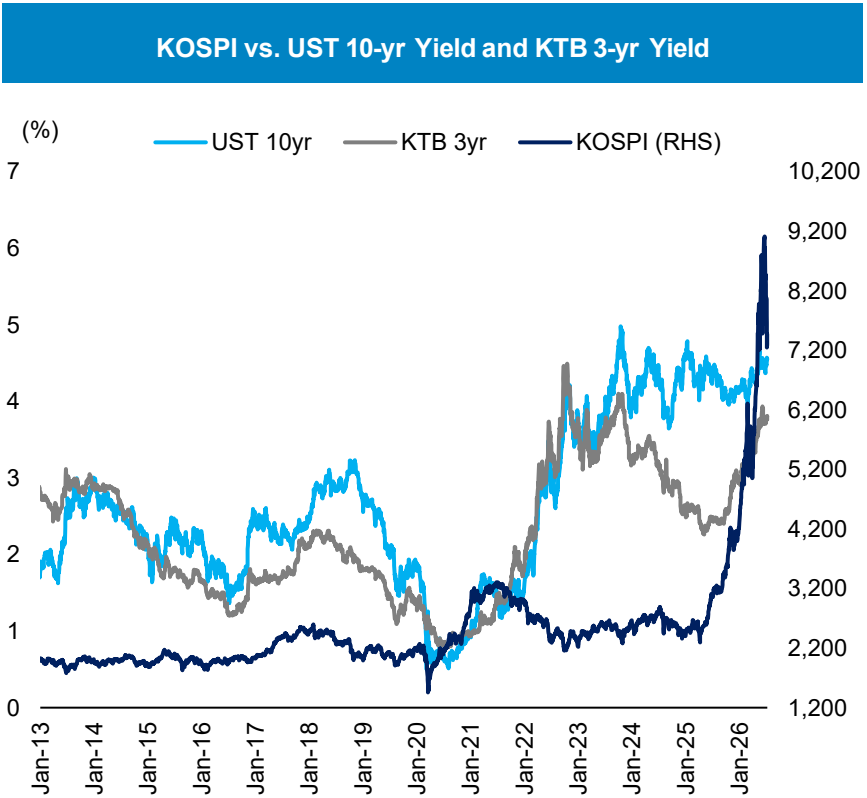
MSCI Korea 12m Fwd P/E	As of Jun-26 (x)	Change (%)			vs. Historical Avg.		
		3M	6M	12M	vs. 3yr (2023-2025)	vs. 5yr (2021-2025)	vs. 10yr (2016-2025)
MSCI Korea	7.2	-7%	-28%	-28%	-26%	-30%	-31%
Energy	8.1	-51%	-51%	-52%	-25%	-15%	-19%
Materials	13.2	-15%	-20%	-13%	-1%	15%	18%
Industrials	13.7	-8%	-19%	-16%	0%	16%	17%
Capital goods	13.8	-8%	-21%	-21%	-3%	4%	12%
Transportation	10.0	-3%	12%	21%	18%	47%	6%
Cons. Discr.	9.4	10%	49%	96%	78%	57%	27%
Auto & Components	8.9	6%	47%	100%	79%	60%	34%
Consumer Durables & Apparel	14.9	46%	64%	73%	92%	83%	47%
Cons. Stpls.	15.6	-9%	-5%	11%	14%	14%	0%
Food, Beverage & Tobacco	13.8	-5%	-4%	11%	16%	21%	14%
Household Personal Products	20.2	-17%	-4%	-9%	3%	-3%	-15%
Healthcare	29.5	-18%	-29%	-34%	-31%	-29%	-44%
Pharmaceuticals & Bio	29.5	-18%	-29%	-34%	-31%	-33%	-46%
Financials	8.4	1%	15%	23%	50%	59%	36%
Banks	7.6	-1%	9%	19%	43%	55%	36%
Insurance	13.6	35%	59%	79%	114%	96%	61%
Financial Services	6.8	-29%	-9%	-21%	8%	15%	-7%
IT	6.4	-1%	-30%	-32%	-44%	-50%	-45%
Technology Hardware & Equipment	6.1	-18%	-41%	-48%	-51%	-54%	-49%
Semiconductors & Equipment	6.8	36%	-10%	6%	-25%	-24%	-22%
Comm. Svcs.	14.7	-11%	-16%	-37%	-21%	-29%	-22%
Telecom Services	13.6	9%	44%	42%	59%	71%	53%
Utilities	3.0	7%	0%	10%	-39%	-39%	-62%

Source: Datastream, Morgan Stanley Research. Note: Data as of Jun. 2026

Where Are We in the Cycle?
Volatility Remains Higher on FX Uncertainty



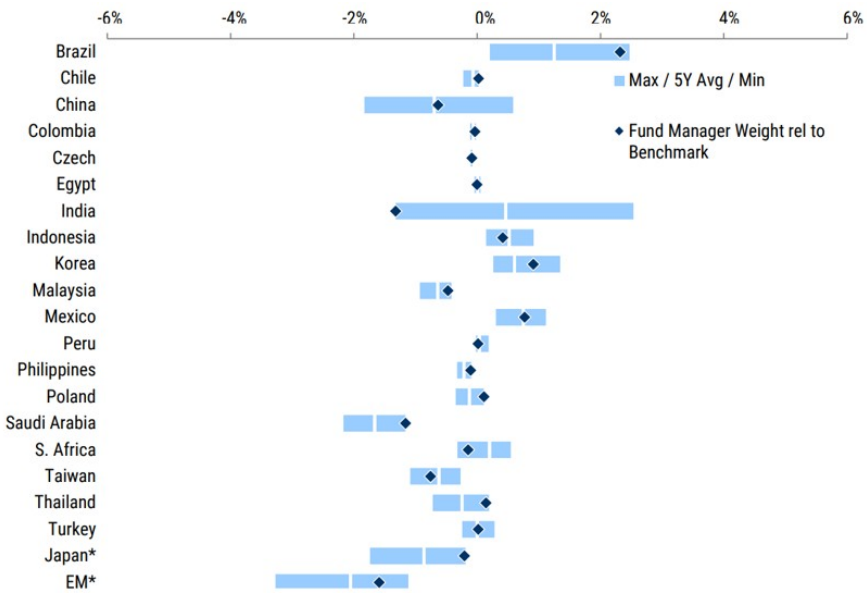
Source: WiseFN, FactSet, Morgan Stanley Research.



Source: FactSet, Morgan Stanley Research.

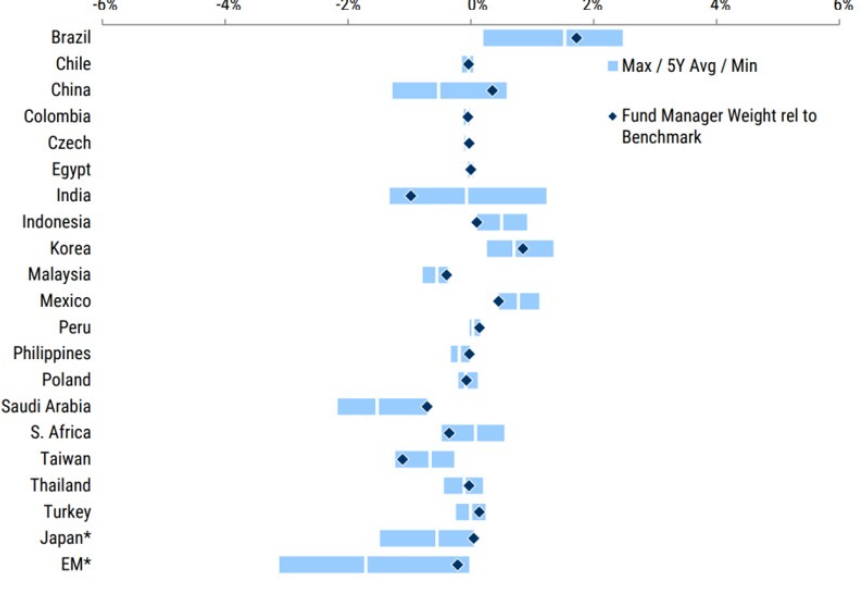
Where Are We in the Cycle?
Volatility Remains Higher on FX Uncertainty

GEM Fund Managers' Market Allocation vs. MSCI EM (May 2025)



Source: EPFR Global, Morgan Stanley Research. Note: Data as of May 2025. * Japan and EM fund weight in global funds.

GEM Fund Managers' Market Allocation vs. MSCI EM (May 2026)



Source: EPFR Global, Morgan Stanley Research. Note: Data as of May 2026. * Japan and EM fund weight in global funds.

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1800 303-2495; Hong Kong +852 2848-5999; Latin America +1718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Heewon Choi; Joon Seok.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Minseo Kang - Hanwha Aerospace (common or preferred stock).

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Hanwha Aerospace.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Doosan Enerbility, Hanwha Aerospace.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Doosan Enerbility, Hanwha Aerospace.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Doosan Enerbility.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>. Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management. Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of

the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: S. Korea Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Heewon Choi		
Doosan Enerbility (034020.KS)	O (01/14/2026)	W73,200
Joon Seok		
Hanwha Aerospace (012450.KS)	O (07/25/2025)	W936,000
Korea Aerospace Industries Ltd (047810.KS)	E (01/16/2026)	W143,500
LIG Defence & Aerospace Co Ltd. (079550.KS)	E (07/25/2025)	W725,000

Samsung E&A Co Ltd (028050.KS)

O (02/01/2023)

W41,100

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley